

- *Most of the people became rich because they invested in real estate. Your home will be your best and biggest investment.*

Home purchase has been made legit by throwing clichés like these to satisfy an emotional decision. We don't need to buy a home but we desire the curry of prestige and emotions that tangle with it. But what if these emotions were built on an unsteady foundation? What if someone showed you that renting is not wasting money but allocating a wise percent of salary for better use later-on. The following pages will do these and much more.

Upon debunking these myths you'll be convinced that buying a home is indeed an emotional decision and not a logical one. Like looking at a closet full of options, we choose to ignore the necessity of warmth and go for the jugular of emotions when buying a home. And when it becomes an emotional decision it borders more on the 'need' than any 'want'. At the end, you'll decide that a home is a purchase and not an investment as people make it out to be. When it gets perceived as the most expensive purchase of your life, you'll start looking at it through a different lens.

Now, onto breaking age-old myths.

Debunking Assumption #1: Rent is money down the drain

Here is the oft-heard line, *“Rent is a useless expense while buying a home builds value. If you rent, it is forever and renters can never benefit from the incredulous increase in home prices”*

Here's what's wrong: Conventional thinking goes - renting is 0% money towards an asset but paying for a mortgage is x% towards building an asset.

Let's consider a 50lakh home:

- Down payment: 10 lakhs
- You owe: 40 lakhs within a 20-year period
- Interest 10%

The payments in the form of EMI you're making will consist of the four:

1. Principal
2. Interest
3. Taxes